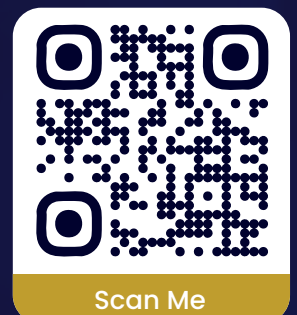




Life Assurance Sector Report

for the Nine Months Ended 30 September 2024



Disclaimer

- i. This report has been prepared by the Insurance and Pensions Commission (IPEC) solely for the purpose of providing information to the insurance sector stakeholders. It may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent.
- ii. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.
- iii. This report relates to life assurance and reinsurance business written in nine months to 30 September 2024. The figures are based on unaudited accounts submitted by regulated life insurers and reinsurers.
- iv. The statistics in this report were based on the International Financial Reporting Standard (IFRS) 17 – Insurance Contracts.
- v. Please note that all monetary figures are in ZWG unless stated otherwise. There are no September 2023 ZWG comparatives since this currency was introduced on 5 April 2024. For the purposes of September 2023 comparatives, the Commission converted the ZWL reported amounts to US\$ using the official average exchange rate and the closing rate for that period. Consequently, these amounts may reflect exchange rate distortions. Furthermore, September 2023 was when the life assurance sector started submitting IFRS 17 returns to the Commission. Therefore, the numbers may reflect issues typical of first-time adoption of a complex accounting standard.
- vi. ZWG revenue and assets were converted to US\$ using the average exchange rate for the period under review of ZWG13.8405 and the closing rate of ZWG24.8831, respectively. It is important to note that the closing rate is significantly higher than the average rate due to a significant currency

depreciation that occurred before the quarter ended. This has resulted in a distortion as income and expenses are converted at lower rate and the assets and liabilities at a higher rate.

- vii. This report is based on 12 direct life assurers, and four (4) reinsurers.
- viii. Except for the foreign currency business section, the amounts in this report are presented in US\$ equivalents, therefore they are not pure US\$.

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Abbreviations

IPEC	Insurance and Pensions Commission
IFRS 17	International Financial Reporting Standard (IFRS) 17 – Insurance Contracts
MCR	Minimum Capital Requirements
PA	Prescribed Assets as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme
PAA	Premium Allocation Approach

Section A

Executive Summary

EXECUTIVE SUMMARY

1. Executive Summary

- 1.1 As at 30 September 2024, the life assurance sector consisted of 12 direct life assurance companies, four (4) life reinsurance companies, and 1,385 life assurance agents.
- 1.2 Direct life assurers reported insurance revenue of ZWG1.71 billion, equivalent to US\$123.77 million when converted using the average exchange rate for the nine months. Of this amount, pure foreign currency business was US\$76.91 million (62%).
- 1.3 Recurring business accounted for 95% of the insurance revenue with new business only accounting for 5%.
- 1.4 Funeral assurance and group life assurance continue to be the primary revenue drivers for the life sector, collectively contributing 87% of the total revenue.
- 1.5 Three (3) life assurance companies and three reinsurers did not meet the approved US\$ indexed Minimum Capital Requirements (MCR) of US\$2 million. Consequently, the regulator has advised these entities to develop compliance roadmaps to ensure compliance once the regulations are gazetted.
- 1.6 Total assets for direct life assurers decreased by 9% from a US\$ equivalent of US\$496.14 million reported as at 30 September 2023 to US\$ equivalent of US\$453.38 million (ZWG11.3 billion) reported as at 30 September 2024. The decrease is mainly due to the exchange rate movements.
- 1.7 Life reinsurers reported total assets amounting to the US\$ equivalent of US\$10.60 million (ZWG263.86 million), representing an increase of 40% from US\$ equivalent of US\$7.58 million reported as at 30 September 2023.
- 1.8 The average compliance ratio with prescribed asset requirements was 13.16% for life insurers and 17.69% for reinsurers against statutory minimum requirement of 15% of total assets. Four direct life insurers and

three reinsurers met the minimum statutory requirement. This is an increase from the same period last year as life insurers were at 9.33% while reinsurers compliance stood at 3.25%. Three (3) Reinsurers had above minimum investments in prescribed assets.

1.9 The life assurance sector reported a combined ratio of 50% and a nominal profit before tax of ZWG4.29 billion. Using the average official exchange rate, the sector's profit before tax in US\$ terms was equivalent to US\$309.82 million. This includes fair value adjustments of ZWG2.2 billion (equivalent to US\$155.76 million) from quoted equities.

1.10 Life reinsurers reported a nominal profit before tax of ZWG40.82 billion for the review period, equivalent to US\$2.95 million. This profit includes fair value adjustments of ZWG10.26 billion from equities, equivalent to US\$0.74 million based on the average exchange rate for the period.

1.11 Tables 1 and 2 below, show the key financial indicators for the life assurance and reinsurance companies.

Table 1: Summary of Key Financial Indicators for Life Assurers

KPI	Sept-24 ZWG million	Sept-24 US\$ million (equivalent)	Sept-23 US\$ million (equivalent)	Percentage change
Insurance Revenue	1.713	123.77	100.21	24%
Insurance service expenses from contracts issued	857	61.92	76.23	-19%
Insurance service result	834	60.26	22.41	169%
Net investment result	4.05	292.62	428.45	-32%
Profit (Loss) before tax	4.288	309.82	343.67	-10%
Ratio Analysis				
Insurance Expense Ratio	20%		17%	18%
Claims Ratio	30%		59%	-49%
Combined Ratio	50%		76%	-34%
Reinsurance Ratio	2%		2%	0%
Lapse Ratio	5%		12%	-58%

	Sept-24 ZWG million	Sept-24 US\$ million (equivalent)	Sept-23 US\$ million (equivalent)	Percentage change
Total Assets	11.281	453.38	496.14	-9%
Total Liabilities	4.983	200.25	249.72	-20%
Shareholders' Equity	6.299	253.13	246.41	3%
Capital to Liability Ratio	126.41%		98.67%	28%
Prescribed Asset Ratio	13.16%		9.33%	41%

Table 2: Summary of Key Financial Indicators for Life Reassurers

KPI	Sept-24 ZWG million	Sept-24 US\$ million (equivalent)	Sept-23 US\$ million (equivalent)	Percentage change
Insurance Revenue	77.61	5.61	1.56	259%
Insurance service expenses	51.86	3.75	10.61	-65%
Insurance service result	20.7	1.5	0.31	386%
Net investment result	32.54	2.35	5.68	-59%
Profit (Loss) before tax	40.82	2.95	5.85	-50%
Ratio Analysis				
Insurance Expense Ratio	28%		33%	15%
Claims Ratio	39%		35%	11%
Combined Ratio	67%		68%	-2%

	Sept-24 ZWG million	Sept-24 US\$ million (equivalent)	Sept-23 US\$ million (equivalent)	Percentage change
Total Assets	263.86	10.6	7.58	40%
Total Liabilities	54.4	2.19	0.39	462%
Shareholders' Equity	209.46	8.42	7.15	18%
Capital to Liability Ratio	385.08%		1832%	-79%
Prescribed Asset Ratio	17.69%		3.25%	444%



Section B

About the Commission

ABOUT THE COMMISSION

2 The Insurance and Pensions Commission Overview

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise, and develop the insurance and pensions industry, for the protection of policyholders and pension scheme members in Zimbabwe.

Terms of Reference

2.2 The activities of the Commission are guided by the following Acts and their respective regulations:

- Insurance and Pensions Commission Act [*Chapter 24:21*]
- Pensions and Provident Funds Act [*Chapter 24:32*]
- Insurance Act [*Chapter 24:07*]
- Money Laundering and Proceeds of Crime Act [*Chapter 09:24*]
- Finance Act [*Chapter 23:04*]
- Public Entities and Corporate Governance Act [*Chapter 10:31*]
- Public Finance Management Act [*Chapter 22:19*] and
- Public Procurement and Disposal of Public Assets Act [*Chapter 22:23*]
- Administration of Estates Act [*Chapter 6:01*]

2.3. Regulatory Developments

2.3.1. Circulars

During the review period, the Commission issued Circulars as shown below:

Table 3: Circulars issued during the 9-Months ended 30 September 2024

Circular	Date of Issue	Purpose
Circular 1 of 2024	25/01/2024	Sectorial Assessment to inform Zimbabwe's Third Money Laundering National Risk Assessment.
Circular 2 of 2024	30/01/2024	Actuarial Society of Zimbabwe Guidance Note for S.I. 162 of 2023.
Circular 3 of 2024	05/02/2024	Settlement of Claims.
Circular 5 of 2024	06/06/2024	2023 Annual Reporting.
Circular 7 of 2024	25/04/2024	Data Call on All New Products Approved from January 2020 to Date.
Circular 8 of 2024	10/05/2024	Guideline On 2024 Currency Changes.
Circular 10 of 2024	17/06/2024	2024 IPEC AML/CFT/CPF Industry Training Calendar.
Circular 11 of 2024	27/06/2024	Amendments to Circular 8 of 2024- Guideline on the 2024 Currency Changes.
Circular 12 of 2024	02/07/2024	Guidelines to Funds on Conduct of Annual General Meetings.
Circular 13 of 2024	10/07/2024	Financial Intelligence Unit Directive on High-Risk Jurisdictions and Countries Under Increased Monitoring for Terrorist Financing and Proliferation Financing of Weapons of Mass Destruction.
Circular 14 of 2024	05/09/2024	Financial Intelligence Unit Directive on Implementation of Targeted Financial Sanctions.



Section C

Economic Overview

ECONOMIC OVERVIEW

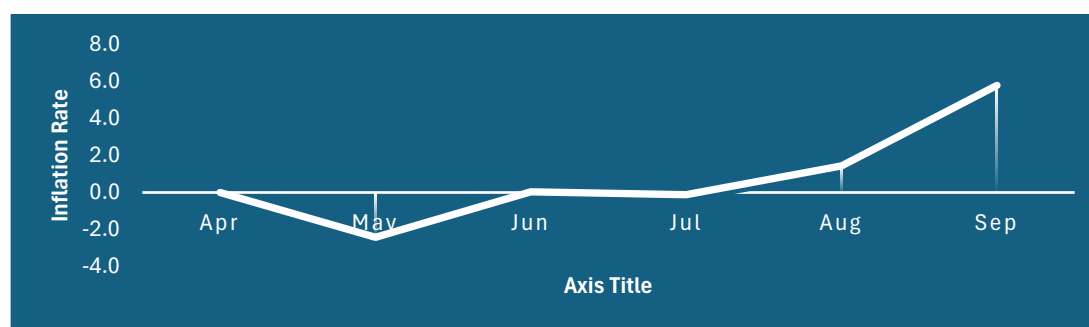
3.1. Economic Growth Developments

- The government projects a slowdown in Zimbabwe's economic growth for 2024, revising its initial projection of 3.5% to 2%. This downward revision is primarily attributed to the adverse effects of the El Niño weather phenomenon on agricultural output, a key sector of the Zimbabwean economy.
- The mining sector is also expected to experience subdued growth due to lower international mineral prices. However, a rebound in agricultural production and ongoing capital projects in the manufacturing sector are anticipated to drive recovery in 2025.
- However, financial and insurance activities were projected to grow by 4.8% in 2024 up from 2.4% in 2023.

3.2. Inflation Developments

- In April 2024, Zimbabwe introduced the Zimbabwe Gold (ZWG) currency as part of efforts to stabilise the economy and curb inflation. The ZWG, a structured currency backed by a basket of foreign currency and precious metals (mainly gold), resulted in the country experiencing varying inflation trends:
 - Deflation in April and May: The initial months saw a period of deflation, likely due to the introduction of the new currency and its impact on market stabilisation.
 - Resurgence of Inflation: From June onwards, inflation began to rise steadily, reaching its peak in September.
- The figure below shows inflation trends for the period between April to September 2024.

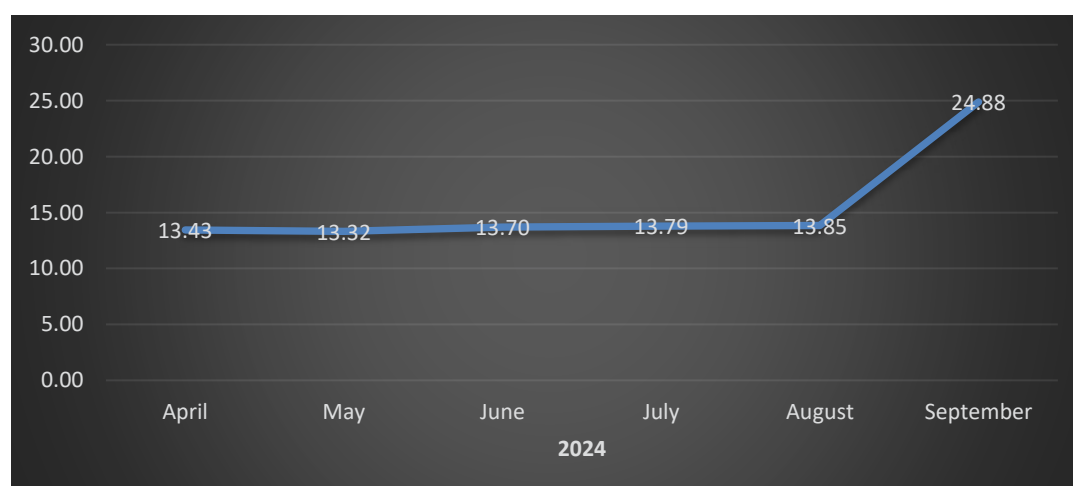
Figure 1: Inflation Rate in US\$ terms



3.3. Exchange Rate Developments

- The quarter was characterised by economic volatility as the ZWG depreciated on the alternative exchange resulting in the exchange rate trading around US\$1: ZWG13.84 on the official currency.
- To restore stability and curtail inflationary pressures, the Reserve Bank of Zimbabwe, devalued the ZWG by 43% in September 2024 to ZWG24.88.
- Maintaining exchange rate stability will be crucial for the insurance sector, as it fosters confidence and encourages long-term investment.

Figure 2: Official Exchange Rate



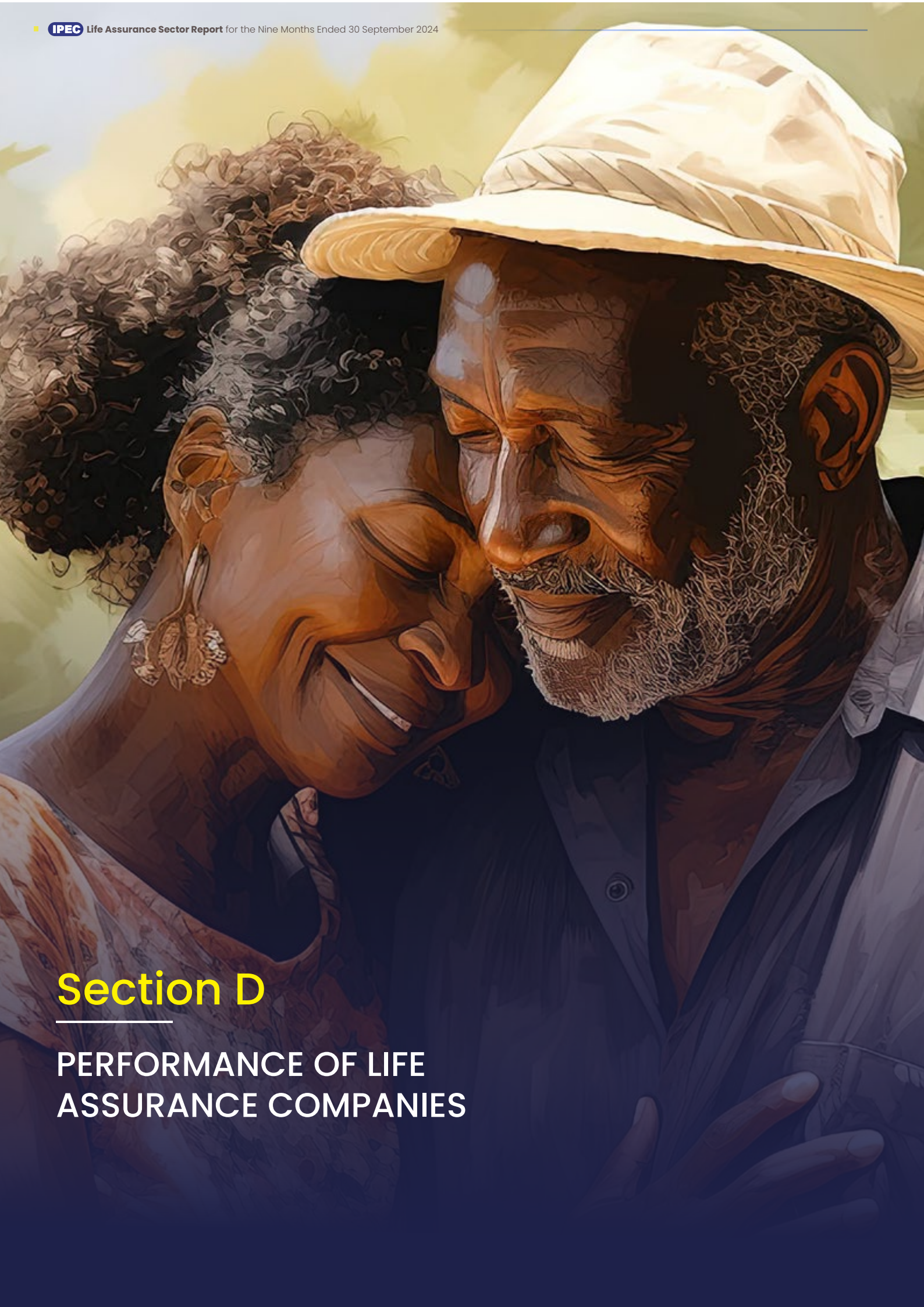
3.4. Stock Market Performance

3.4.1. Zimbabwe Stock Exchange (ZSE)

- The introduction of the ZWG had a significant impact on the performance of the ZSE with the following key trends:
 - Market Capitalisation: The market capitalisation of the ZSE increased steadily from ZWG 28.6 billion in April to ZWG 74.5 billion in September 2024, reflecting inflation developments in line with exchange rate movement.
 - Turnover: The turnover on the ZSE also showed significant growth, from ZWG16.6 million in April to ZWG 273.9 million in September 2024, demonstrating increased trading activity and liquidity. This increased activity can be attributed to factors such as the influx of foreign investors, the stabilisation of the economy, and the overall improvement in market sentiment.
- The All-Share Index, a key indicator of overall market performance, experienced significant growth during the period. This reflects the positive performance of most listed companies on the ZSE.

3.4.2. Victoria Falls Exchange (VFEX)

- The market capitalisation of the VFEX experienced fluctuations throughout the period. This suggests that investor sentiment and market dynamics were influenced by various factors, including economic conditions, currency stability, and global events.
- The turnover on the VFEX also showed fluctuations, indicating varying levels of trading activity. Higher turnover in certain months may be attributed to factors such as new listings, corporate actions, or increased investor interest.
- The VFEX All Share Index exhibited a relatively stable trend, with some periods of growth and decline. This suggests that the overall performance of listed companies on the VFEX was mixed.



Section D

PERFORMANCE OF LIFE ASSURANCE COMPANIES

PERFORMANCE OF LIFE ASSURANCE COMPANIES

4. Life Assurance Sector Architecture

- 4.1. There were 12 registered life assurers during the period under review.
- 4.2. Life assurers reported a total of 1,385 agents, encompassing both corporate and individual representatives. This reflected a growth of 2% from the 1,356 agents recorded in September 2023.

5. Performance in Terms of Insurance Revenue

- 5.1. During the review period, direct life assurers reported insurance revenue of ZWG1.72 billion, equivalent to US\$123.77 million at the average exchange rate for the period. This represents a 24% increase from the equivalent of US\$100.21 million reported for the same period in 2023. Foreign currency business constituted 62% of the total insurance revenue.
- 5.2. Funeral assurance and group life assurance continue to be the primary sources of insurance revenue in the life assurance sector, accounting for a combined 87% of the total revenue.
- 5.3. The table below shows the insurance revenue and net premium written per life company.

Table 4: Insurance Revenue and Net Premium Written Per Company

Company	Insurance Revenue Sept 2024 (ZWG Million)	Market Share (Insurance Revenue)	Net Premium Written Sept 2024 (ZWG Million)	Market Share (Net Premium Written)
Nyaradzo Life	798.39	46.62%	904.7	48.14%
Doves Life	218.18	12.74%	263.8	14.04%
Zimnat Life	135.6	7.92%	125.51	6.68%
Old Mutual Life	123.75	7.23%	125.74	6.69%
First Mutual Life	122.8	7.17%	105.59	5.62%
Fidelity Life	103.59	6.05%	101.13	5.38%
Econet Life	94.13	5.50%	88.98	4.73%
CBZ Life	55.43	3.24%	73.04	3.89%
ZB Life	46.34	2.71%	74.88	3.98%
Nhaka Life	8.91	0.52%	8.91	0.47%

Company	Insurance Revenue Sept 2024 (ZWG Million)	Market Share (Insurance Revenue)	Net Premium Written Sept 2024 (ZWG Million)	Market Share (Net Premium Written)
Evolution Life	4.23	0.25%	5.91	0.31%
Heritage Life	1.18	0.07%	1.18	0.06%
Total	1,712.53	100.00%	1,879.37	100.00%

- 5.4. Nyaradzo Life Assurance company is dominating the life sector in terms of insurance revenue with 46.6% of the market share, primarily driven by the funeral assurance business as the major source of revenue.
- 5.5. The cumulative revenue for the leading five companies reached ZWG1.40 billion, which is equivalent to US\$101.06 million, using the average interbank rate for the quarter.
- 5.6. This accounts for 82% of the total revenue reported for the quarter, indicating a significant concentration of revenue among the top 5 entities in the sector.

6. Insurance Revenue by Product

- 6.1. Funeral assurance emerges as the main product being sold within the life assurance sector, accounting for 72.56% of total revenue, followed by group life assurance, which accounts for 14.65% of total revenue.
- 6.2. Other life insurance products collectively accounted for 12% of the business, encompassing endowment plans, term assurance, and whole life policies.
- 6.3. The restoration of confidence remains a focal point for the life insurance industry to revive policyholder interest in long-term insurance products. The industry has a role to play on the innovative front to tailor products to meet market demands.
- 6.4. The life assurance sector continues to play a pivotal role in mobilising long-term savings and financial intermediation within the economy.
- 6.5. The figure below illustrates the distribution of life assurance revenue by product line, with the subsequent table detailing the distribution of insurance revenue by product line per company.

Figure 3: Distribution of Insurance Revenue by Product Line

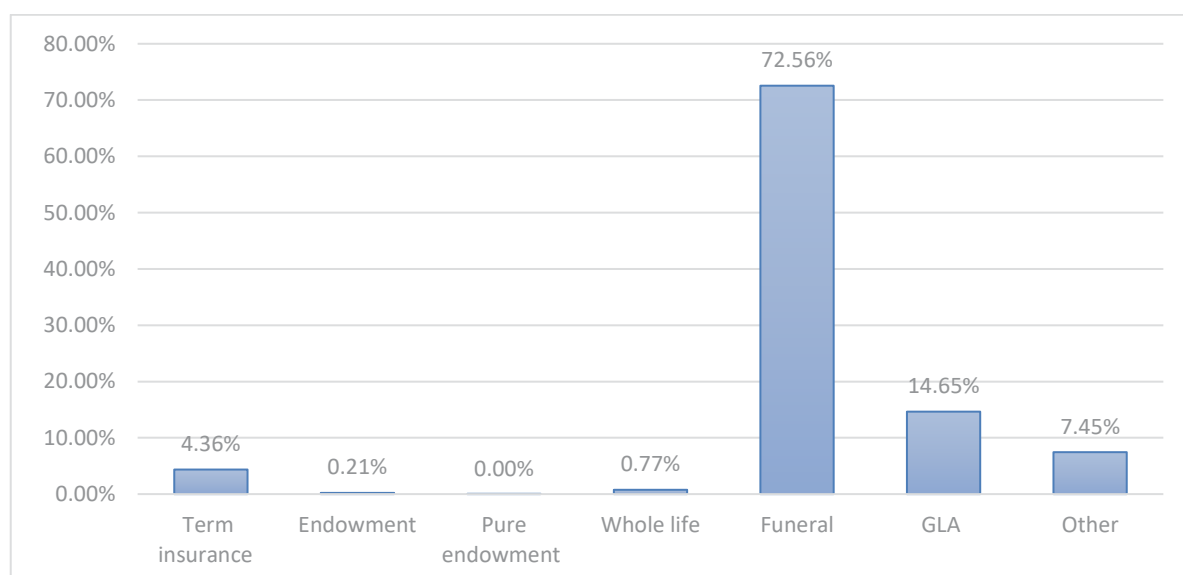


Table 5: Distribution of Insurance Revenue by Product Line Per Company

Company	Term insurance	Endowment	Pure endowment	Whole life	Funeral	GLA	Other	Total
Nyaradzo Life	-	-	-	-	798.39	-	-	798.39
Doves Life	-	-	-	-	218.18	-	-	218.18
Zimnat Life	7.63	3.26	-	12.61	36.60	75.50	-	135.60
Old Mutual Life	-	-	-	-	10.23	92.81	20.71	123.75
First Mutual Life	49.42	-	-	-	15.32	42.27	15.79	122.80
Fidelity Life	0.01	0.06	0.01	0.00	1.53	14.39	87.57	103.59
Econet Life	-	-	-	-	90.64	2.99	0.50	94.13
CBZ Life	13.05	0.00	-	0.00	26.58	15.80	0.00	55.43
ZB Life	0.40	0.35	-	0.50	36.89	6.58	1.62	46.34
Nhaka Life	4.22	-	-	-	3.97	0.52	0.21	8.91
Evolution Life	-	-	-	-	4.23	-	-	4.23
Heritage Life	-	-	-	-	0.00	0.01	1.17	1.18
Total	74.73	3.68	0.01	13.11	1,242.55	250.87	127.57	1,712.53

6.6. The primary focus of the top five insurance companies is on funeral assurance and group life products. Among these, Nyaradzo Life and Doves Life exclusively offer funeral assurance, while Old Mutual, Zimnat, and First Mutual specialise in group life assurance.

7. Not Taken Up Policies

7.1. For the period ended 30 September 2024, the life assurance sector reported a total of 94,642 Not Taken Up (NTU) policies, with an expected insurance revenue of ZWG532.17 million. See *table below*

Table 6: Not Taken Up Policies

Name of Company	Number of Policies	Insurance Revenue - ZWG Million
Doves Life	5,632	412.55
Econet Life	13,752	94.13
Fidelity Life	171	-
Old Mutual Life	69,044	24.15
ZB Life	2,590	0.46
Zimnat Life	3,453	0.89
Total	94,642	532.17

7.2. Old Mutual Life had the highest number of NTUs followed by Econet Life, which may point to the need for these entities to pay close attention to their customer onboarding processes and product offerings.

7.3. Insurers are advised to carefully oversee how agents present their products to potential clients to prevent instances of misrepresentation. This underscores the necessity for consumer education initiatives at both the individual company and industry-wide levels within the life insurance sector.

Lapsable Policies

7.4. At the beginning of the third quarter of 2024, the life assurance sector held a total of 2,111,227 lapsable policies. Of these policies, 101,980 of them, lapsed during the quarter, resulting in a lapse ratio of 4.83%, a decrease from 11.53% reported during the same period in 2023.

7.5. The relatively low lapse rate indicates a higher rate of renewals, which in turn, indicates an above average level of persistency ratio.

7.6. Policy lapses mainly result from affordability challenges and shifts in policyholders' circumstances. The Commission expects insurers to ensure effective communication with policyholders before their policies lapse.

7.7. The table below shows the lapse ratio per entity: -

Table 7: Lapse Ratios

Name of Company	No. of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (Group Business)	Lapse Ratio
CBZ Life	45,483	138	-	0.30%
Doves Life	182,165	5,156	11,153	8.95%
Econet Life	1,140,312	55,705	197	4.90%
Evolution Life	-	-	-	0.00%
Fidelity Life	52,309	86	-	0.16%
First Mutual Life	-	360	-	0.00%
Heritage Life	1,857	-	-	0.00%
Nhaka Life	1,254	226	-	18.02%
Nyaradzo Life	550,791	13,809	4,847	3.39%
Old Mutual Life	72,913	4,803	-	6.59%
ZB Life	2,338	1,708	-	73.05%
Zimnat Life	61,805	3,878	-	6.27%
Total/ Average	2,111,227	85,783	16,197	4.83%

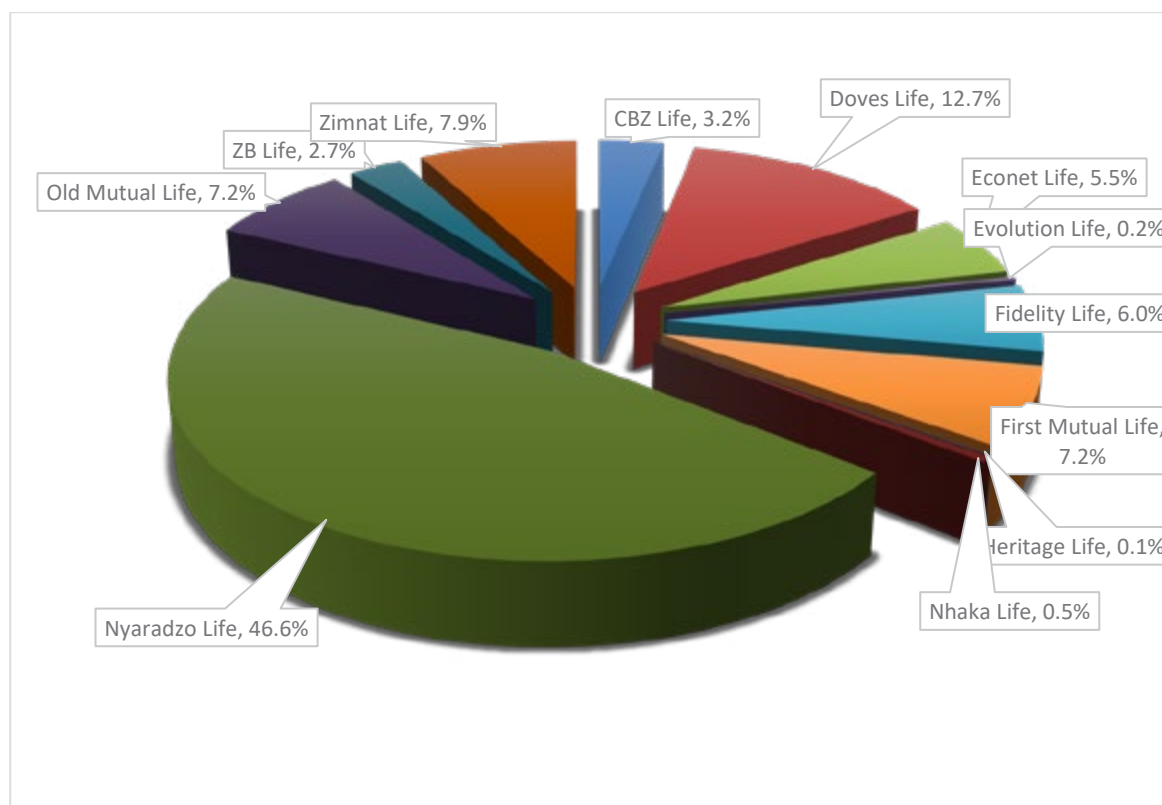
7.8. During the period under review, ZB Life and Nhaka Life had lapse ratios exceeding 10%. This is because policyholders are facing financial difficulties and changing insurance needs leading to policy cancellations. These entities are urged to carry out an experience investigation to comprehend the causes of policy lapses and introduce measures to lower the lapse rates.

8. Market Share

8.1. In terms of revenue, Nyaradzo Life and Doves Life are leading the life sector with a total market share of 59.3%, with the remaining players sharing the difference of 40.7% of the market.

8.2. The Figure below shows the market share for the sector in terms of revenue.

Figure 4: Market Share in Terms of Insurance Revenue



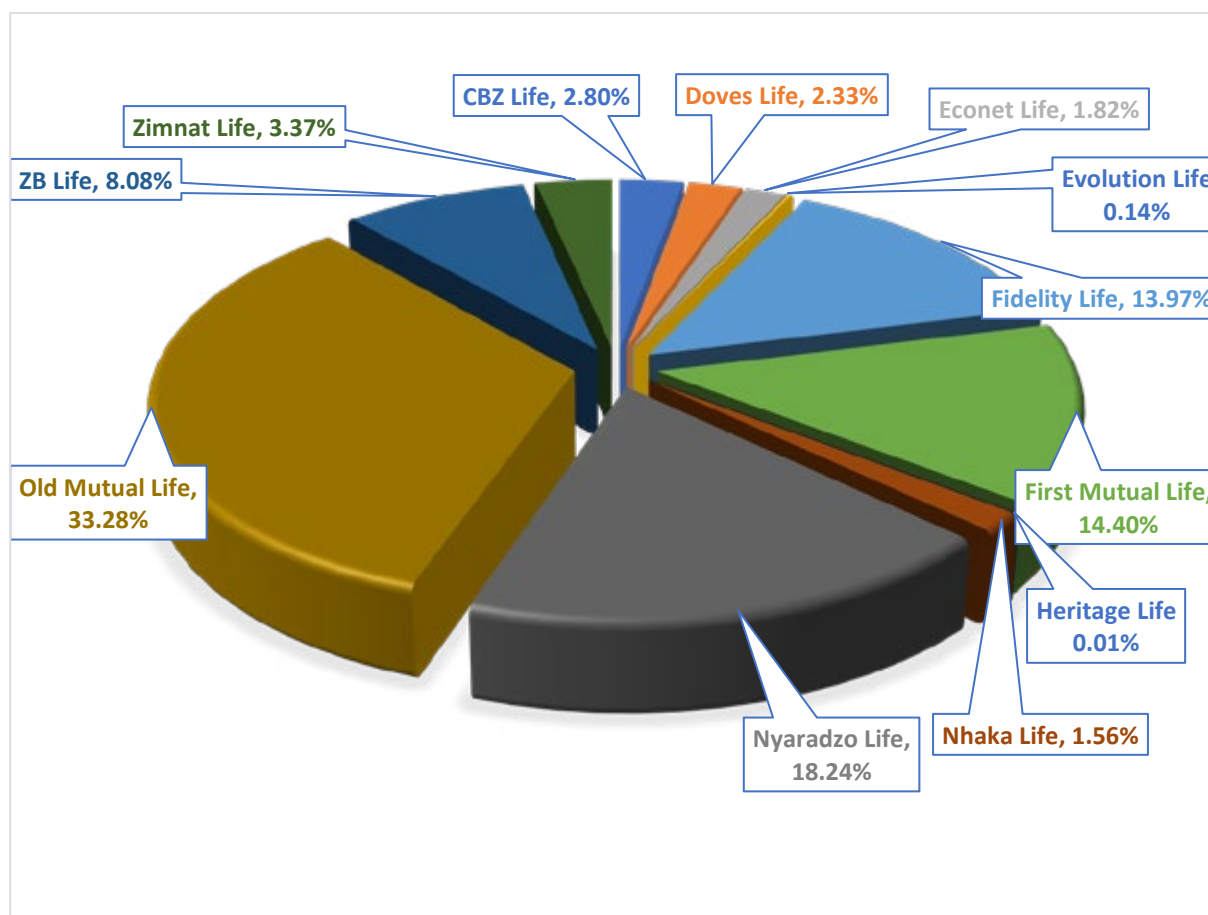
8.3. As part of their growth strategies, industry players should consider developing products that align with the current environment and evolving consumer preferences. Relying heavily on the funeral assurance business may not be sustainable in the foreseeable future.

Market Share by Asset

8.4. In terms of assets, Old Mutual and Nyaradzo Life lead the market, commanding 51.52% of the life assurance sector, while the other entities collectively account for 48.48%.

8.5. The figure below shows the distribution of market share in terms of assets by entity.

Figure 5: Market Share by Assets



8.6. Life assurance companies should maintain a robust asset base with suitable duration and liquidity profiles to ensure they can meet their liabilities as they become due.

9. Foreign Currency Business

9.1. During the period under review, the life assurance sector received foreign currency revenue amounting to US\$76.91 million signifying an

increase of 140% from US\$32.1 million reported for the same period in 2023.

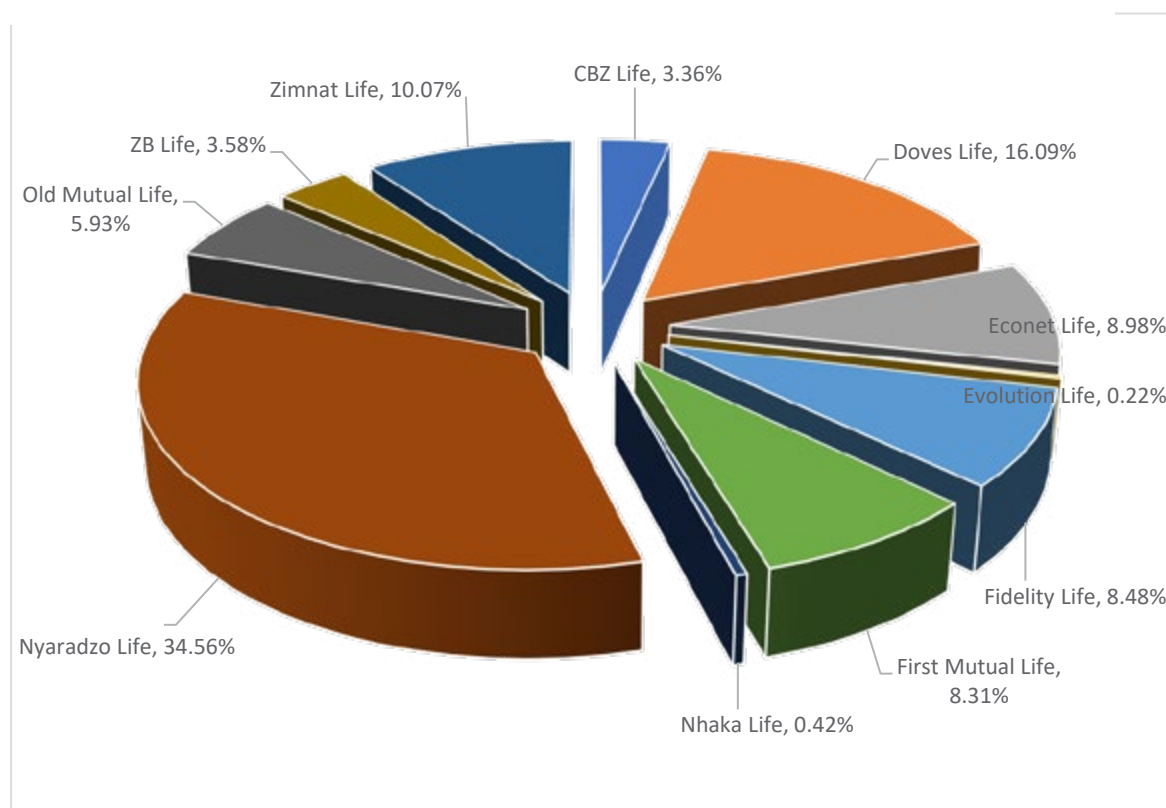
9.2. Noting that a significant part of business is recurring, the increase in forex business is on account of policyholders switching from local currency-denominated policies to forex policies.

9.3. For the period ended 30 September 2024, foreign currency business constituted 62% of the total revenue, reflecting a 17% increase from the 45% of total revenue recorded for the same period in 2023.

9.4. In line with SI 280 of 2020, insurance companies are reminded to invest forex premiums in forex assets and pay claims in forex.

9.5. The breakdown of the foreign currency business written by the life assurance sector per company is shown in the figure below: -

Figure 6: Market Share by US\$ Insurance Revenue



9.6. Nyaradzo Life has the biggest share of forex business at 34.56% by virtue of having the largest market share within the life sector.

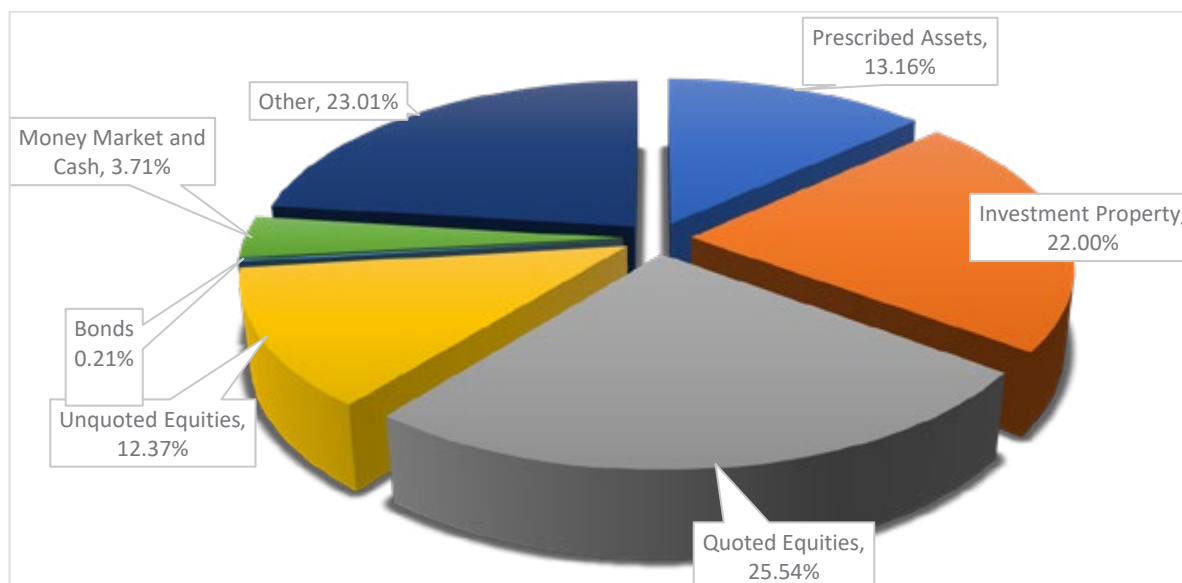
10. Reassurance

- 10.1. The life reinsurance industry reinsured ZWG27.76 million (US\$2.01 million) of the total business written, resulting in a reinsurance ratio of 2%.
- 10.2. This low ratio primarily stems from the dominance of the funeral assurance business, which provides funeral services as a benefit and is typically not reinsured. Additionally, the annual renewable policies issued by industry players are often not reassured.
- 10.3. Reinsurance continues to be a vital risk management tool as it assists in capital management by transferring some of the underwritten risks to reinsurers.
- 10.4. It is important for life companies to evaluate their risk retention capabilities and reassure as necessary.
- 10.5. The Commission is pushing for a resilient life assurance sector, which is capable of absorbing market uncertainties as they arise, with reinsurance being a key strategy that can be used to achieve this objective.

11. Asset Quality

- 11.1. The life assurance sector reported total assets amounting to ZWG11.3 billion (approximately US\$453.38 million), reflecting a 9% decrease from the US\$496.14 million reported as at 30 September 2023.
- 11.2. Life assurance companies primarily invest in quoted equities and investment properties, which together constitute 47.5% of their total assets. These are considered more suitable in uncertain conditions due to their risk and return characteristics.
- 11.3. The figure below shows the distribution of assets for the life assurance sector by class.

Figure 7: Assets Breakdown by Class



- 11.4. Other assets comprise insurance assets, reinsurance assets, premium debtors, current account with service providers, and inventory, among others.
- 11.5. Prudence is required to ensure that the assets being held align with the liabilities.

12. Prescribed Assets

- 12.1. The total investments in prescribed assets by the life assurance sector amounted to ZWG1.48 billion, which converts to the US\$ equivalent of US\$59.66 million. This is a sector average compliance level of 13.16% for the period under review against a minimum prescribed ratio of 15%.
- 12.2. Four life assurers namely, CBZ Life, Nhaka Life, Econet Life, and Fidelity Life, were compliant with the minimum prescribed asset ratio of 15% of total assets.
- 12.3. The Commission expects the sector to comply with the established minimum PA ratio.

13. Liquidity and Earnings

- 13.1. The life sector achieved a positive insurance result of ZWG833.76 million (US\$60.26 million), reflecting an underwriting profit from core insurance activities.
- 13.2. The current ratio for life insurers stood at 2:1, demonstrating that the industry has more than enough liquid assets to cover short-term contractual obligations and other immediate liabilities.
- 13.3. The average combined ratio for life insurers was 50%, reflecting the sector's profitability. Breaking down this ratio, the claims ratio was 30%, the commission ratio was 6%, and the expense ratio was 14%.
- 13.4. The profit before tax for the period under review was ZWG4.29 billion, primarily driven by fair value gains on quoted equities. The profit before tax is US\$309.22 million in US\$ terms when converted using the average exchange rate for the period. This is a decrease of 9.9% from US\$343.67 when compared to the same period last year.
- 13.5. Investment income emerged as the key driver of profit for life companies, constituting a substantial proportion of total revenue.
- 13.6. The table below summarises the expenses, claims, and combined ratio for the life sector.

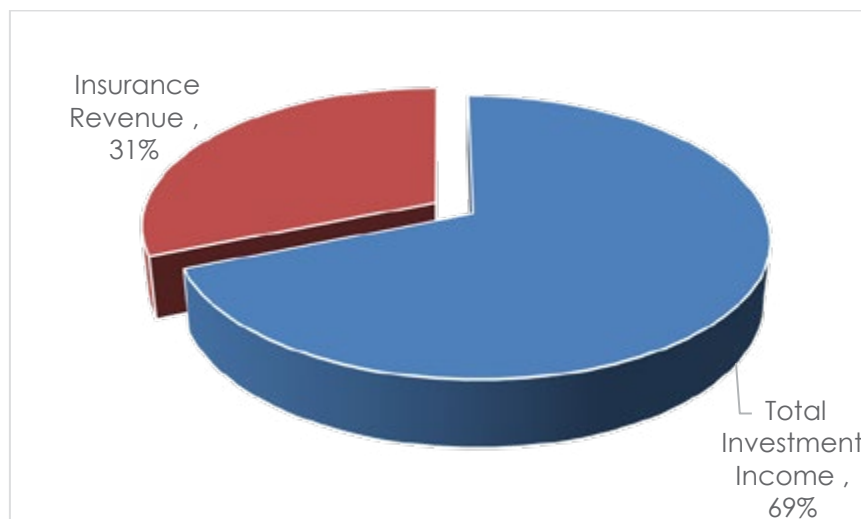
Table 8: Expense Ratios

Company	Expenses Ratio	Claims Ratio	Combined Ratio
Evolution Life	96%	12%	107%
Econet Life	41%	55%	95%
ZB Life	68%	25%	92%
CBZ Life	48%	21%	69%
Doves Life	22%	34%	56%
Old Mutual Life	22%	29%	51%
First Mutual Life	29%	21%	50%
Fidelity Life	36%	12%	48%
Nyaradzo Life	10%	33%	43%
Nhaka Life	13%	28%	41%
Zimnat Life	8%	19%	27%
Heritage Life	0%	12%	12%
Total	20%	30%	50%

13.7. The life companies recorded combined ratios of less than 100%, which is commendable, except for Evolution which recorded a combined ratio of 107%.

13.8. The figure below shows the distribution of sources of revenue for the sector.

Figure 8: Composition of Income for Life Companies

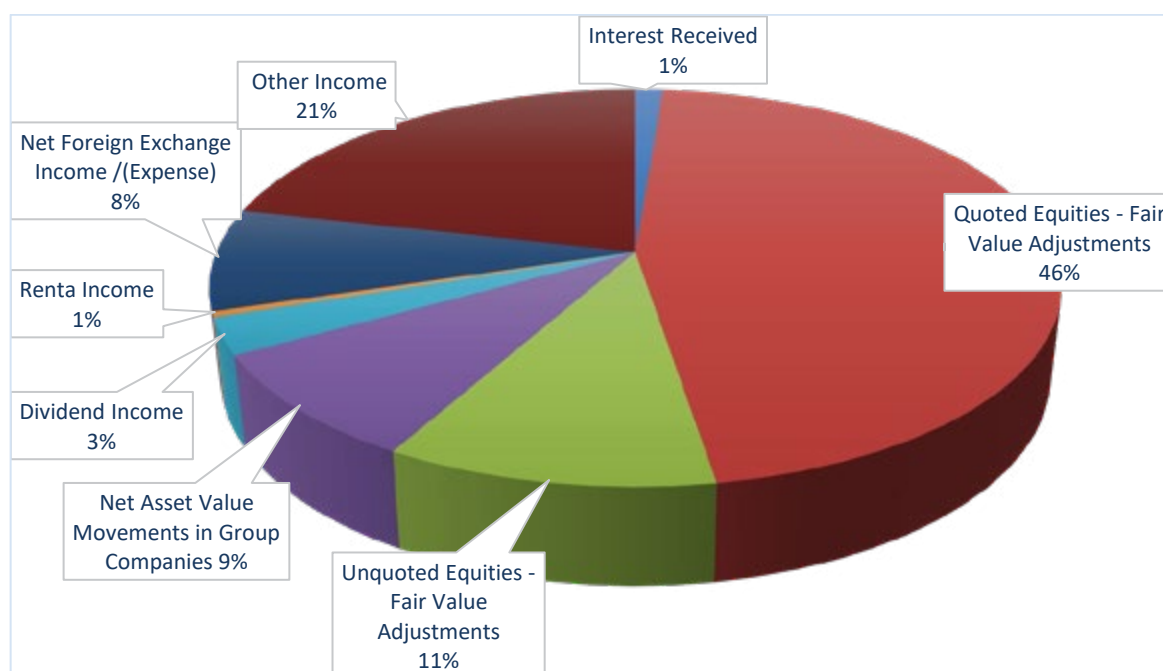


13.9. As illustrated in the figure above, much of the revenue, 69%, is derived from investment income, with only 31% attributed to insurance revenue.

13.10. A significant portion of the revenue does not originate from the primary insurance activity, which involves underwriting insurance business.

13.11. Other investment income comprises income from fair value adjustments on gold coins, contract fees income, gains realised on disposal of equities, commission income, and fund administration fee income among other income streams.

Figure 9: Composition of Investment Income in Life Companies



14. Capitalisation

- 14.1. As at 30 September 2024, nine life insurance companies met the US\$-linked Minimum Capital Requirement (MCR) of US\$2 million, while the remaining three did not meet the threshold.
- 14.2. The development of a Solvency Stress Testing Framework is currently underway to inform stress tests on the balance sheets of all life insurance firms. These tests aim to assess how each company's financial standing would respond to potential shocks affecting their operations.



Section E

Performance of Life Reassurance Companies

PERFORMANCE OF LIFE REASSURANCE COMPANIES

15. Nature of the Reassurance Business

Life reinsurers are permitted to underwrite both life and non-life business. However, the statistics presented in this section exclusively reflect their life assurance activities, except for their capital positions, which encompass both life and non-life positions.

16. Performance in Terms of Reassurance Revenue

- 16.1. For the period ended 30 September 2024, life reinsurers reported insurance revenue of ZWG77.61 million, equivalent to US\$5.61 million when converted using the average interbank rate for the review period.
- 16.2. The insurance revenue for reinsurers increased by 259% from US\$1.56 million reported for the same period in 2023.
- 16.3. Group life assurance emerged as the primary revenue driver for the reinsurance business, contributing 60% to the total revenue generated by reinsurers.
- 16.4. Life reinsurance companies achieved a positive insurance service result of ZWG20.70 million, which translates to approximately US\$1.50 million.

17. US\$ Business Revenue for Reinsurers

- 17.1. Life reinsurance companies reported foreign currency business amounting to US\$4.74 million for the period ended 30 September 2024, representing 84% of total insurance revenue. This indicates that a significant portion of the business underwritten by reinsurers is denominated in foreign currency.
- 17.2. Insurance revenue increased by 163% from the US\$1.8 million reported during the same period in 2023.

17.3. The sector reported insurance service result of US\$1.17 million, which signifies underwriting profit for the period under review.

17.4. The profit-before-tax reported for the period under review was US\$0.56 million.

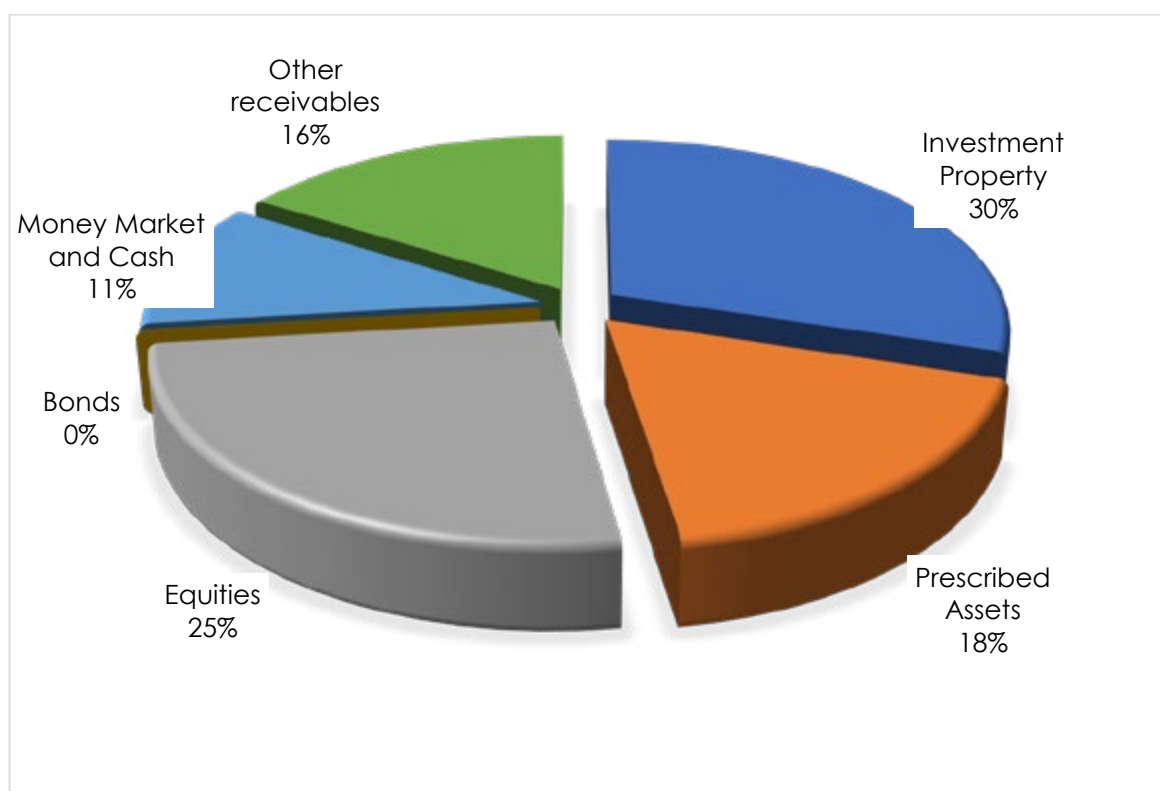
18. Asset Quality

18.1. Life reassurers reported total assets of ZWG263.86 million, equivalent to US\$10.60 million, reflecting a 16% increase from the US\$7.58 million reported as of 30 September 2023.

18.2. The growth in assets was primarily from fair value gains on investment properties and equities and new investments in prescribed assets.

The figure below illustrates the distribution of assets for life reassurers:-

Figure 10: Life Reassurers' Total Assets



18.3. Among the total assets reported by reassurers, investment properties were the largest asset class, making up 29.91% of the sector's assets.

Equities contributed 25.48%, while prescribed assets contributed 17.69% of the total assets.

19. Prescribed Assets

- 19.1. The life reinsurance sector's total investments in prescribed assets amounted to ZWG46.67 million, equivalent to US\$1.88 million using the closing rate for the period. This corresponds to an average compliance level of 17.69% for the sector, comfortably above the prescribed asset threshold of 15%. The increase in the average compliance ratio was mainly driven by investments in treasury bills during the period under review.
- 19.2. Only Emeritus Re in the reinsurance industry was not compliant with the required minimum prescribed asset threshold of 15%.
- 19.3. The table below is a summary of compliance ratios for each entity.

Table 9: Prescribed Assets Ratios for Reinsurance Companies

Name of Company	Prescribed Asset Ratio
Emeritus Reinsurance	2.76%
FBC Reinsurance	60.71%
First Mutual Reinsurance	18.12%
ZEP Reinsurance	40.32%
Total/ Average	17.69%

- 19.1. The focus on investing in prescribed assets continues to be a national priority, therefore reinsurers are encouraged to continue engaging in developmental projects that align with prescribed asset requirements and compliance standards.

20. Earnings

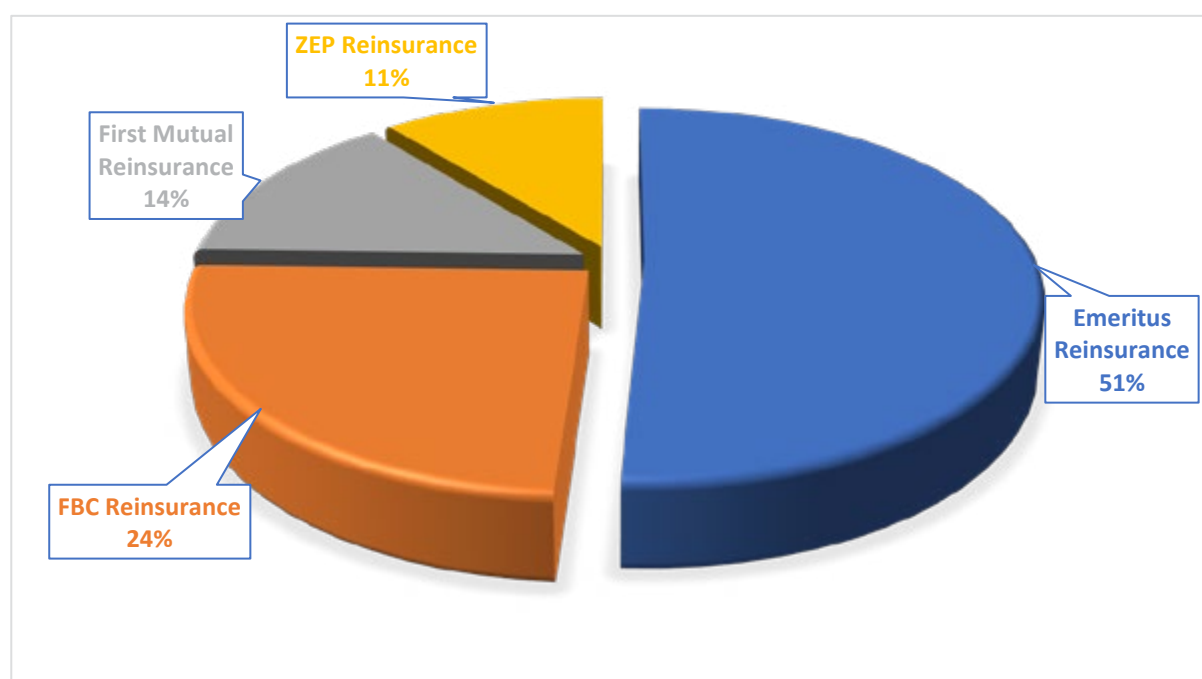
- 20.1. The profit-before-tax reported for the period under review was ZWG40.82 million, which is US\$2.95 million in US\$ terms. The profit was mainly generated from investment income. As reported earlier under direct life assurers, most of the income for reassurers was also from investments rather than their primary insurance operations.
- 20.2. Reassurers reported a claims ratio of 39% whilst the expense ratio was 28% for the period under review, which resulted in a combined ratio of 67%.

21. Market Share

Market Share by Reassurance Revenue

- 21.1. In terms of revenue market share, Emeritus Re led with 51%, followed by FBC Re at 24%, First Mutual at 14%, and ZEP Re with 11%.
- 21.2. All reinsurers apart from Emeritus reported positive insurance results for the period ending 30 September 2024.
- 21.3. The breakdown of the market share of the reinsurance sector in terms of reinsurance revenue is shown in the figure below: -

Figure 11: Market Share by Reassurance Revenue

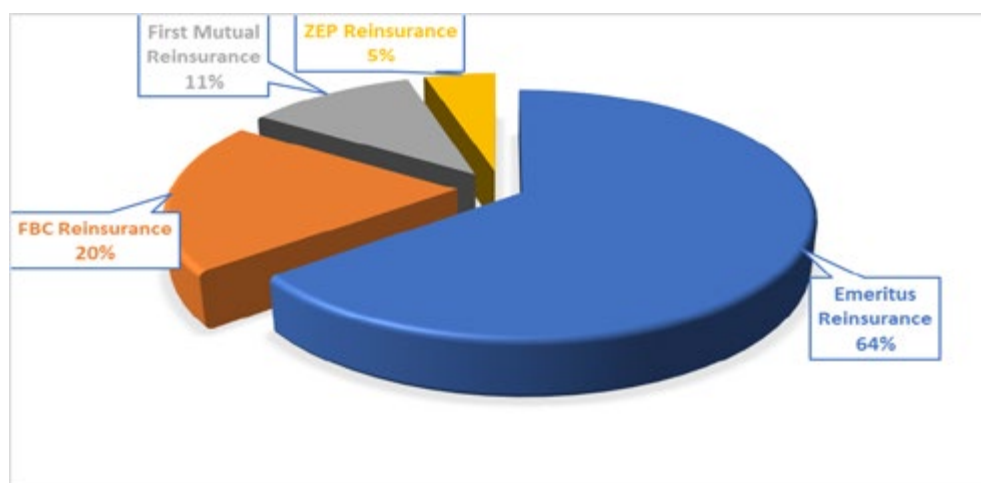


Market Share in Terms of Total Assets

21.4. Regarding market share by assets, Emeritus Re held the largest portion at 64% in the reinsurance sector. FBC Re followed with 20%, while the remaining 16% was split between First Mutual Re at 11% and ZEP Re at 5%.

The breakdown of market share by value of assets is shown in the figure below:

Figure 12: Market Share Distribution in Terms of Total Assets



22. Capitalisation

- 22.1. Emeritus Re is the only reinsurance company that complies with the capital requirement of US\$2 million, which is still pending gazetting.
- 22.2. The remaining three reinsurers do not currently meet the proposed minimum capital requirements. They are expected to develop compliance strategies to ensure alignment with the new capital regime once the relevant regulations are implemented.

Below is a table showing the current capitalisation levels for the reinsurance companies.

Table 10: Capitalisation of Reassurance Companies

Name of Company	Capital - ZWG Million	
	Sept-24	US\$2 Million
Emeritus Reinsurance	127.69	5.13
FBC Reinsurance	40.88	1.64
First Mutual Reinsurance	33.45	1.34
ZEP Reinsurance	7.44	0.30

Section F

Complaints Handling and Penalties for Regulatory Breaches

23. COMPLAINTS HANDLING AND PENALTIES FOR REGULATORY BREACHES

23.1. During the period under review, there were 17 complaints against life insurers, an increase from 12 life complaints that were received in the previous quarter. Most of the complaints related to unpaid surrender values upon maturity, whilst some of the complaints related to mis-selling of life products by some of the life assurance companies.

Figure 13: Distribution of Complaints by Entity



23.2. Zimnat Life and Fidelity Life Assurance had the greatest number of life policy complaints that were received for the quarter under review, with 8 each, which constituted 94% of the complaints received.

24. Regulatory Breaches

24.1. For the period ended 30 September 2024, 4 life companies namely Doves, Nhaka, Heritage, and Evolution were penalised for late and non-submission of 2023 actuarial reports and audited financial statements.

24.2. Industry participants are reminded that failure to submit, partial submission, or late submission of quarterly returns, actuarial reports, and audited financial statements, as required by Section 30 of the Insurance Act [Chapter 24:07] and Section 5 of the Insurance and Pensions (Issuance of General Guidelines and Standards) Regulations, S.I. 69 of 2020, will result in regulatory sanctions being imposed on non-compliant entities.

Section G

ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

ANTI-MONEY LAUNDERING AND COMBATING THE FINANCING OF TERRORISM AND PROLIFERATION FINANCING

25. All 12 life assurance companies submitted their third quarter 2024 AML/CFT/CPF returns.

25.1. Inherent Risk Factors and Controls

The following observations were made from the submissions received during the quarter under review:

25.2. Client Risk

25.2.1. Eleven out of twelve entities risk-profiled their clients in the third quarter of 2024, an improvement from the ten reported for the corresponding period in 2023.

25.2.2. Domestic PEPs constituted 68% of the ZWG business written from high-risk clients, amounting to ZWG2,570,823¹ and 0.4% of the US\$ business of US\$1,902,536 during the quarter.

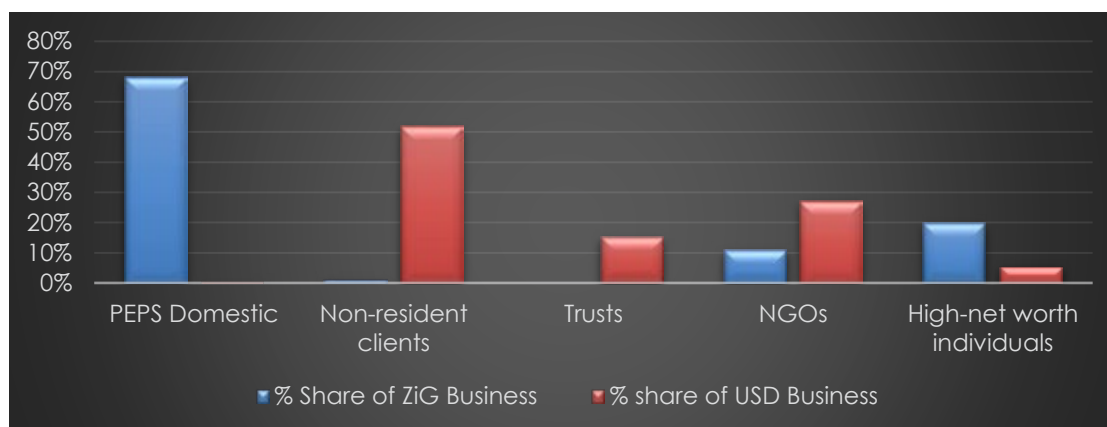
25.2.3. No foreign PEPs were reported. Non-resident clients accounted for 52% of US\$ business and 78% of the US\$ high-risk clients.

25.2.4. Notable US\$ business was realised from legal arrangements such as trusts accounting for 15%, and non-governmental organisations 27%.

25.2.5. All life companies reported the presence of high net-worth individuals, which accounted for 20% and 6% of ZWG and US\$ business respectively.

The figure below provides share of business written by the type of client risk.

¹ The ZWG2,570,823 and US\$1,902,536 amounts refer to high risk clients only and not the total gross premium

Figure 14: Business Written from High-Risk Clients

25.2.6. Enhanced due diligence (EDD) should continue to be applied when dealing high-risk clients. Whilst life assurers provide EDD measures for high-risk clients as part of their policies and procedures, it is important to ensure that these are continuously being implemented.

25.2.7. EDD goes beyond verifying the identity of clients, it also involves understanding business activities, sources of wealth, and funds related to the client.

25.2.8. Escalation should be made to senior management for approval to onboard or continue with the client. It is commendable that some insurers are making use of screening tools to assist in the risk profiling of clients to apply necessary due diligence measures.

25.2.9. Gaps were noted in some entities in terms of verifications of identity information for beneficiaries and beneficial owners for corporate clients and legal arrangements. Life assurers should ensure that sufficient complete CDD is done at both the onboarding and claims stage.

25.2.10. Customer due diligence is an ongoing exercise, entities must continue to review and update the client's profile regularly.

25.2.11. Ongoing monitoring of clients' transactions should be done to detect suspicious activities. Maintaining detailed records of transactions and client information is critical. Records must be kept for

at least 5 years after termination of a business relationship and should be readily available upon request.

25.3. Product Risk:

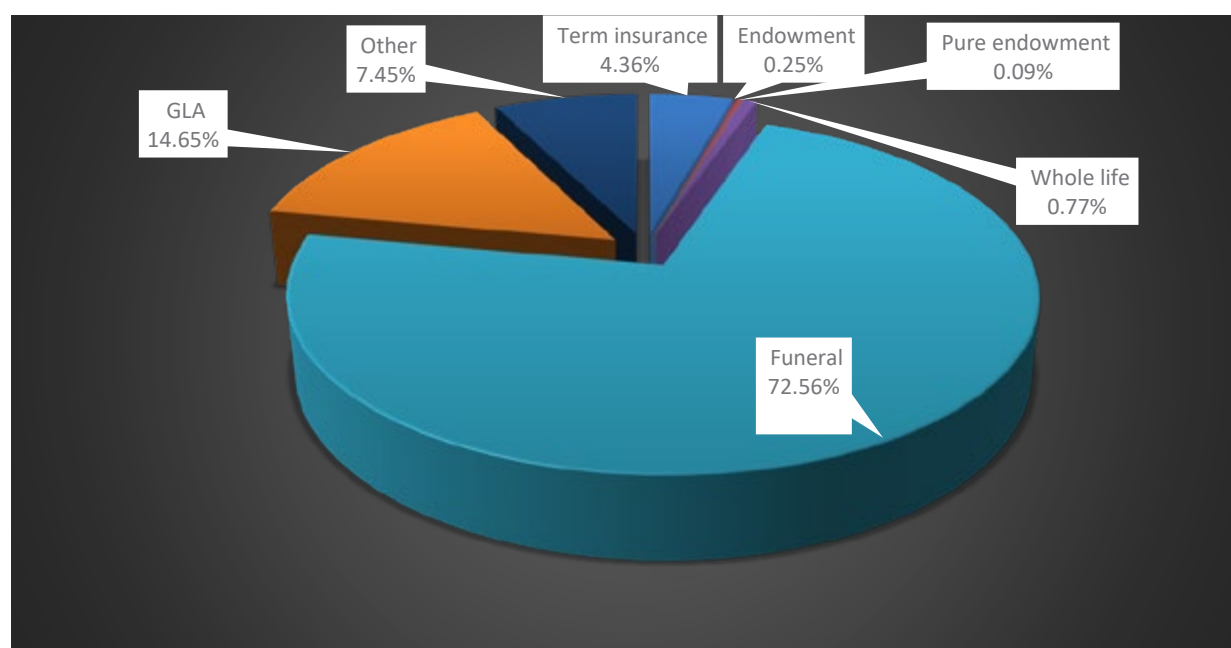
25.3.1. Products with low exposure to money laundering risk continue to dominate the market.

25.3.2. Funeral products accounted for 72.56% of gross written premiums combined in ZWG terms. Group Life Assurance accounted for 14.65%.

25.3.3. Conventional life assurance products which are more susceptible to money laundering risk accounted 12% of premiums see Figure 15.

25.3.4. Life assurers must, therefore, give due consideration to products that present ML and TF risks despite the size of the business.

Figure 15: Share of Business Written by Products



25.3.5. It is important for life assurers to understand product-specific risks so that they tailor specific product AML controls to effectively mitigate ML risks.

25.4. **Use of Intermediaries:**

- 25.4.1. Life assurers largely rely on agents to sell policies. A total of 11 out of 12 entities indicated the use of agents, 4 obtain business from brokers, 2 from bancassurance, and one had direct clients exclusively.
- 25.4.2. About 69% of ZWG denominated business was from agents, whilst for US\$ business, agents accounted for 76% of gross premium written.
- 25.4.3. Direct clients accounted for 25% and 22% of total business written in both ZWG and US\$ currencies respectively.
- 25.4.4. Insurers should continue to ensure that agents and brokers adhere to AML/CFT/CPF regulations and include them in relevant training programs. Moreover, customer due diligence should be conducted for clients obtained through aggregators and bancassurance, with life insurers verifying their identities and those of beneficiaries.

25.5. **High-Risk Jurisdictions**

- 25.5.1. One entity indicated the presence of clients in high-risk jurisdictions designated by the FATF under countries with strategic deficiencies in their AML/CFT regimes, though the product offered is of low risk.
- 25.5.2. Six life insurers reported maintaining branches in high-risk domestic areas, mainly artisanal gold mining regions during the period under review.
- 25.5.3. Illicit proceeds from precious metals and minerals may be realised where artisanal miners do not sell their minerals to the designated buyers and approved agents. This raises both ML and TF risks.
- 25.5.4. Appropriate transaction monitoring should be done for the clients in high-risk areas. EDD measures must be applied where necessary.

25.6. Source of Funds

25.6.1. There was a significant improvement in insurers' disclosures regarding the sources of funds for policy premiums, compared to the same period in 2023.

25.6.2. Eleven out of twelve life insurers provided this information, up from nine in 2023. Salaries made up 66% of the premiums in US\$ terms, 30% was from self-employed individuals and 4% from formal business activities.

25.6.3. Given the cash-based nature of the informal sector, life insurers must remain vigilant to prevent potential misuse by money launderers and terrorist financiers, despite the low premium values associated with the sector.

25.7. Transaction Mode/Mode of Payment

25.7.1. Premium payments were predominantly made electronically, with an allowance of cash for some assurers.

25.7.2. Three entities reported that all their premiums were received electronically. Nine life insurers allow both cash and electronic premium payments. However, it has been noted that for life assurers affiliated with banks as part of the group structure, cash premiums are deposited in the life assurers bank account.

25.8. Reporting Obligations

25.8.1. Suspicious Transaction Reports (STRs): One life assurer filed an STR with the Financial Intelligence Unit (FIU) during the third quarter of 2024.

25.8.2. Entities must have practical measures in place to prevent tipping off. Internal procedures should guide staff on how to escalate suspicious activities and transactions to the AML/CFT Compliance Officer.

25.8.3. Life assurers are encouraged to adopt automated systems for screening clients, monitoring transactions, and detecting suspicious activities. Measures to prevent tipping must be in place.

25.8.4. Cash Transaction Reports: Three life insurers reported a total of 21 CTRs in the quarter. Life insurers and their intermediaries must file CTRs for all inward and outward payments that meet the specified thresholds.

25.9. **Implementation Of Targeted Financial Sanctions**

25.9.1. Only three entities indicated the use of automated systems for sanctions screening, while the rest use manual approaches.

25.9.2. It is of concern that the life insurers using manual systems seem to be prioritising sanctions screenings following the release of updates from the UNSCR sanctions lists issued by the FIU and not on an ongoing basis.

25.9.3. This may imply that new clients are not being subjected to sanctions screening prior to onboarding as required in terms of the FIU CFT/CPF Directive No. PFIU3/09/24 on Implementation of Targeted Financial Sanctions issued 3 September 2024.

25.9.4. Failure to demonstrate customer sanctions screening on an ongoing basis will result in penalties being levied on non-compliant entities or responsible individuals.

26. Conclusion

- 26.1. The life insurance sector in Zimbabwe, while facing challenges such as foreign exchange issues, continues to demonstrate resilience. To unlock its full growth potential, it is crucial to develop products that are specifically tailored to meet customer needs. Regulatory bodies are advocating for increased collaboration to ensure a secure and sustainable insurance market.
- 26.2. Going forward, insurance companies should integrate Environmental, Social, and Governance (ESG) principles into their operations to align with global standards and enhance their reputation. Thus, the regulator will be working with the industry to prepare the market for the adoption of sustainable finance methods.
- 26.3. Additionally, leveraging AI tools like chatbots can significantly improve customer service and operational efficiency. Prioritizing cyber risk protection is also essential to safeguard sensitive data and maintain customer trust.
- 26.4. By focusing on these strategies, the life insurance sector can not only overcome current challenges but also thrive in a competitive market.



Section H

APPENDICES

APPENDIX A1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE NINE MONTHS ENDED 30 SEPTEMBER 2024 - ZWG Million.

	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Insurance Revenue	55.43	218.18	94.13	4.23	103.59	122.80	1.18	8.91	798.39	123.75	46.34	135.60	1,712.53
Revenue from contracts measured under the PAA	15.80	-	93.63	-	14.39	121.38	1.18	8.91	-	123.75	45.09	135.60	559.74
Revenue from contracts measured under the GMM	39.62	218.18	0.50	4.23	89.19	-	-	-	798.39	-	0.90	-	1,151.02
Expected incurred claims	-	136.93	-	4.02	43.57	-	-	-	305.49	-	0.82	-	490.82
Change in risk adjustment for non financial risk	39.62	10.56	-	0.03	4.29	-	-	-	58.84	-	0.04	-	113.38
CSM recognised in P&L for the services provided	-	69.84	0.50	0.13	41.34	-	-	-	311.06	-	0.03	-	422.90
Insurance acquisition cashflows recovery	-	0.86	-	0.04	-	-	-	-	123.00	-	0.01	-	123.91
Revenue from contracts measured under the VFA	0.00	-	-	-	-	1.41	-	-	-	-	0.35	-	1.76
Expected incurred claims	-	-	-	-	-	0.81	-	-	-	-	0.11	-	0.93
Change in risk adjustment for non financial risk	0.00	-	-	-	-	0.02	-	-	-	-	0.05	-	0.07
CSM recognised in P&L for the services provided	-	-	-	-	-	0.58	-	-	-	-	0.17	-	0.75
Insurance acquisition cashflows recovery	-	-	-	-	-	-	-	-	-	-	0.02	-	0.02
Insurance service expenses from insurance contracts issued:	- 38.23	- 123.08	- 89.70	- 4.54	- 50.02	- 61.67	- 0.14	- 3.64	- 344.01	- 62.70	- 42.67	- 36.48	- 856.88
Incurred claims	- 11.75	- 74.98	- 48.36	- 0.50	- 12.39	- 23.13	- 0.14	- 2.52	- 260.54	- 35.98	- 8.43	- 25.76	- 504.46
Insurance contract expenses	- 22.17	- 47.42	-	- 3.43	- 30.18	- 28.08	-	- 0.47	-	- 26.73	- 24.42	- 10.72	- 193.62
Insurance contract acquisition cashflows	- 4.31	- 0.68	- 38.18	- 0.04	- 7.46	- 7.58	-	- 0.64	- 33.55	-	- 6.87	-	- 99.32
Adjustments to liabilities for incurred claims	-	-	- 3.15	-	-	- 2.88	-	-	-	-	- 2.95	-	- 8.97
Losses (and reversal of losses) on onerous insurance contracts	-	-	- 0.01	- 0.57	-	-	-	-	- 49.92	-	-	-	- 50.51
Insurance service result before reinsurance	17.20	95.10	4.43	0.31	53.56	61.12	1.04	5.27	454.38	61.04	3.67	99.12	855.64
Allocation of reinsurance premiums (net of reinsurance commission)	4.05	-	- 5.15	-	- 2.45	- 2.93	-	- 0.28	-	- 7.71	-	- 10.09	- 27.76
Amounts recoverable from reinsurers for incurred claims	-	-	-	-	- 0.41	- 0.23	-	-	-	- 4.45	- 0.15	- 0.64	- 5.88
Net income / (expense) from reinsurance contracts held	- 4.05	-	- 5.15	-	- 2.86	- 2.70	-	- 0.28	-	- 3.26	- 0.15	- 9.45	- 21.88
Insurance service result	13.16	95.10	- 0.72	0.31	56.42	58.42	1.04	5.00	454.38	57.78	3.82	89.67	833.76
Interest received	1.34	0.69	0.01	-	0.05	12.83	-	-	24.09	4.38	2.87	0.78	47.03
Quoted equities - fair value adjustments	- 1.97	-	- 84.78	- 0.62	-	- 33.03	- 0.30	-	- 37.56	- 1,613.30	- 32.78	- 17.45	- 1,751.79
Unquoted equities - fair value adjustments	-	-	- 20.69	-	- 0.70	-	-	- 0.33	- 5.93	- 284.84	- 93.45	- 1.95	- 403.99
NAV movements in group companies	-	-	-	-	-	331.59	-	-	-	-	-	-	331.59
Dividend income	0.61	-	- 2.40	-	- 0.05	- 22.96	-	- 0.01	- 5.85	- 73.15	- 1.58	- 6.89	- 113.50
Rental income	0.44	2.36	0.36	-	- 1.57	-	-	-	- 0.50	- 9.25	- 1.58	-	- 16.05
Net foreign exchange income / (expense)	1.17	-	-	-	- 175.22	- 8.02	-	- 15.68	-	- 138.77	- 18.11	- 5.91	- 315.47
Other Income	- 37.22	- 1.07	- 2.03	- 0.20	- 16.76	- 6.79	- 0.02	- 71.90	- 98.26	- 579.73	- 69.97	- 2.40	- 811.91
Total Investment Income	- 35.64	- 4.12	- 110.28	- 0.82	- 194.34	- 333.11	- 0.32	- 56.55	- 172.20	- 2,703.41	- 220.34	- 31.48	- 3,791.33
Insurance finance income (expenses) for insurance contracts issued	-	- 0.81	- 0.01	- 0.05	-	- 354.35	- 0.01	- 1.20	- 28.59	-	- 65.09	-	- 258.60
Reinsurance finance income (expenses) for reinsurance contracts issued	-	- 0.81	- 0.01	- 0.05	-	-	-	- 1.20	- 28.59	-	- 65.09	-	- 258.61
Net insurance financial result	-	- 0.81	- 0.01	- 0.05	-	- 354.35	- 0.01	- 1.20	- 28.59	-	- 65.09	-	- 258.61
Net investment result	- 35.64	- 3.31	- 110.27	- 0.78	- 194.34	- 687.46	- 0.31	- 55.36	- 143.61	- 2,703.41	- 155.26	- 31.48	- 4,049.95
Administrative Expenses (indirectly linked to insurance service provision)	- 3.95	- 52.02	- 6.56	- 0.86	- 13.76	- 55.24	- 0.27	- 7.01	- 400.04	-	- 7.44	- 91.05	- 638.19
Fair value adjustments (negative)	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Expenses	- 2.47	-	- 30.23	-	- 1.70	- 14.81	- 0.76	- 18.88	-	- 45.91	-	- 0.07	- 42.39
Total for other Expenditure	- 1.48	- 52.02	- 23.67	- 0.86	- 15.46	- 70.05	- 1.03	- 25.89	- 400.04	- 45.91	- 7.44	- 91.12	- 595.81
Profit (Loss) before tax	- 23.97	- 46.39	- 133.21	- 0.39	- 235.18	- 675.84	- 0.33	- 34.46	- 197.95	- 2,807.09	- 151.64	- 30.03	- 4,287.90
Taxation	- 0.21	-	-	-	- 0.12	- 0.003	- 0.007	-	-	-	-	-	- 0.34
Profit (Loss) after tax	- 24.18	- 46.39	- 133.21	- 0.39	- 235.18	- 675.84	- 0.32	- 34.46	- 197.95	- 2,807.09	- 151.64	- 30.03	- 4,287.56
Other Comprehensive Income for the year	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Comprehensive Profit/(Loss) Attributable to Shareholders	- 24.18	- 46.39	- 133.21	- 0.39	- 235.18	- 675.84	- 0.32	- 34.46	- 197.95	- 2,807.09	- 151.64	- 30.03	- 4,287.56

APPENDIX A2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 SEPTEMBER 2024 - ZWG Million

Assets	CBZ Life	Doves Life	Econet Life	Evolution Life	Fidelity Life	First Mutual Life	Heritage Life	Nhaka Life	Nyaradzo Life	Old Mutual Life	ZB Life	Zimnat Life	Total
Non-Current Assets													
Intangible Assets	-	-	-	-	2.30	-	-	1.24	-	-	0.36	0.29	4.20
Property, Plant and Equipment	26.32	46.42	4.45	0.05	15.50	11.18	0.01	3.19	1,099.87	59.43	2.02	13.22	1,281.66
Investment Property	125.59	157.74	3.24	5.09	567.88	-	0.07	68.82	171.76	675.90	77.58	-	1,853.66
Investments: Quoted equities	57.50	17.51	96.49	0.62	37.26	362.87	0.30	0.37	113.30	2,433.72	37.58	19.72	3,177.23
Unquoted equities	11.11	8.03	23.71	9.41	676.58	71.95	-	-	-	354.74	115.38	200.81	1,471.72
Bonds	-	0.20	-	-	5.42	12.94	-	-	-	30.72	65.76	13.72	128.75
Deferred tax asset	-	-	-	0.17	-	-	-	-	-	-	-	-	0.17
Deferred acquisition costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-	-	-	-	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Reinsurance Contract Held Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Non-Current Assets	-	-	19.84	-	4.82	1,077.63	-	95.57	-	-	585.56	55.81	1,839.23
Total Non Current Assets	220.51	229.89	147.74	15.36	1,309.75	1,536.56	0.39	169.19	1,384.92	3,554.51	884.24	303.57	9,756.62
Current Assets													
Insurance Contract Assets	48.80	0.57	2.88	0.00	-	6.39	-	0.88	-	-	-	-	59.52
Reinsurance Contract Held Assets	0.57	-	0.15	-	-	-	-	-	-	-	-	-	0.72
Money market investments	24.20	-	19.48	-	-	66.11	-	-	24.95	51.94	5.79	9.33	201.81
Other Short Term Investments	-	-	-	0.00	-	-	-	-	99.01	-	-	-	99.01
Other receivables	11.01	8.49	1.28	-	97.20	3.21	-	5.96	149.84	57.71	8.69	45.91	389.29
Cash and Bank Balances	11.27	12.66	27.12	0.13	36.63	11.70	0.09	0.11	30.52	52.49	13.07	21.35	217.13
Other Current Assets	-	11.46	7.14	0.22	132.31	0.24	0.26	-	368.03	37.62	0.00	-	557.29
Total Current Assets	95.85	33.17	58.05	0.35	266.14	87.65	0.35	6.95	672.35	199.76	27.54	76.59	1,524.77
Total Assets	316.37	263.06	205.79	15.71	1,575.88	1,624.21	0.74	176.14	2,057.27	3,754.27	911.78	380.16	11,281.39
Liabilities and Equity													
Current Liabilities													
Insurance Contract Liabilities:	150.19	-	11.99	6.18	-	15.00	0.37	1.33	-	-	-	2.31	187.38
Best Estimate Liability (BEL)	45.06	-	11.97	7.45	-	3.74	-	1.33	-	-	-	2.31	56.96
Risk Adjustment (RA)	15.02	-	0.01	2.95	-	1.02	-	-	-	-	-	-	19.01
Contractual Service Margin (CSM)	90.11	-	-	10.68	-	10.24	0.37	-	-	-	-	-	111.41
Reinsurance Contract Held Liabilities:	-	-	0.91	-	-	-	-	-	-	-	-	-	0.91
Best Estimate Liability (BEL)	-	-	0.91	-	-	-	-	-	-	-	-	-	0.91
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-	-	-	-	-	-	-	-	-
Related party payables	-	-	39.37	1.00	-	16.79	0.00	-	-	67.46	2.35	8.71	135.68
Current provisions	-	-	3.83	-	-	-	-	0.51	-	-	1.12	1.30	6.76
Finance lease obligations	-	-	-	-	-	10.96	-	-	-	-	8.37	11.95	31.28
Bank overdrafts	-	-	-	-	-	-	0.00	-	-	-	-	-	0.00
Payables Arising from Retrocession Arrangements	-	-	-	-	-	-	-	-	-	-	-	-	-
Other payables	-	4.72	2.11	1.45	-	41.61	-	12.78	-	236.43	12.27	54.83	366.21
Total Current Liabilities	150.19	4.72	58.21	8.63	-	84.36	0.37	14.63	-	303.89	24.11	79.11	728.22
Non-current liabilities													
Insurance Contract Liabilities:	-	19.87	-	-	116.74	819.67	-	-	780.00	436.80	588.69	2.31	2,764.09
Best Estimate Liability (BEL)	-	19.87	-	-	1,526.14	793.44	-	-	2,018.83	430.51	588.69	2.31	2,327.50
Risk Adjustment (RA)	-	-	-	-	31.74	1.33	-	-	80.75	6.29	-	-	120.11
Contractual Service Margin (CSM)	-	-	-	-	1,611.16	24.90	-	-	1,319.58	-	-	-	316.48
Reinsurance Contract Held Liabilities:	-	-	-	-	-	-	-	-	-	1.02	40.37	1.38	40.73
Best Estimate Liability (BEL)	-	-	-	-	-	-	-	-	-	1.01	40.37	1.38	40.74
Risk Adjustment (RA)	-	-	-	-	-	-	-	-	-	0.01	-	-	0.01
Contractual Service Margin (CSM)	-	-	-	-	-	-	-	-	-	-	-	-	-
Long Term Loans	-	0.90	-	-	-	-	-	-	-	-	-	2.74	3.63
Provision for investment contract liabilities	16.13	-	0.88	-	794.43	124.71	-	112.26	-	-	31.48	-	1,079.89
Deferred Tax liability	-	0.15	-	-	-	1.61	-	-	90.42	-	21.33	6.44	119.95
Other Liabilities	10.36	5.85	0.32	-	188.56	31.91	0.01	9.29	-	-	-	-	246.29
Total Non - Current Liabilities	26.48	26.76	1.20	-	1,099.74	977.89	0.01	121.54	870.42	435.78	681.87	12.87	4,254.58
Total Liabilities	176.68	31.48	59.41	8.63	1,099.74	1,062.25	0.38	136.17	870.42	739.67	705.97	91.98	4,982.80
Share Capital and Reserves													
Share Capital	0.00	1.00	0.00	0.00	27.10	0.00	0.00	0.00	0.00	0.00	0.00	0.00	28.11
Share Premium	18.69	-	0.00	0.00	16.71	1.50	-	0.01	-	0.47	0.00	0.01	37.40
Insurance finance reserve	-	21.56	-	-	-	-	-	-	-	-	-	-	21.56
Investment Reserve	-	-	-	-	-	-	-	-	-	-	0.00	-	0.00
Revaluation Reserve	12.44	3.70	3.80	0.10	0.51	-	-	-	1,010.70	0.01	4.90	-	1,036.16
Non Distributable Reserve	66.38	-	-	0.00	968.02	-	0.00	-	0.00	0.01	0.01	0.05	1,034.47
Retained Earnings Prior Years	66.36	158.93	9.37	7.37	805.83	440.82	0.04	5.49	105.69	207.02	49.24	258.09	2,912.21
Retained Earnings - Current Period	24.18	46.39	133.21	0.39	227.73	675.84	0.32	34.46	197.95	2,807.09	151.64	30.03	4,280.10
Minority Interest	-	-	-	-	-	-	-	-	-	-	-	-	-
Other	-	-	-	-	41.89	556.20	-	-	83.89	-	-	-	430.42
Shareholders' Equity	139.69	231.58	146.38	7.08	476.12	561.96	0.36	39.97	1,186.85	3,014.60	205.81	288.19	6,298.59
Total Equity and Liabilities	316.37	263.06	205.79	15.71	1,575.88	1,624.21	0.74	176.14	2,057.27	3,754.27	911.78	380.16	11,281.39

APPENDIX A3. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE REASSURERS FOR THE NINE MONTHS ENDED 30 SEPTEMBER 2024 - ZWG Million.

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Insurance Revenue	39.57	18.99	10.64	8.40	77.61
Revenue from contracts measured under the PAA	39.57	18.99	10.64	8.40	77.61
Revenue from contracts measured under the GMM	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Revenue from contracts measured under the VFA	-	-	-	-	-
Expected incurred claims	-	-	-	-	-
Change in risk adjustment for non financial risk	-	-	-	-	-
CSM recognised in P&L for the services provided	-	-	-	-	-
Insurance acquisition cashflows recovery	-	-	-	-	-
Insurance service expenses from insurance contracts issued:	-	-	-	-	-
- Incurred claims	37.67	5.90	2.49	5.80	51.86
- Insurance contract expenses	12.02	1.31	0.13	5.57	19.03
- Insurance contract acquisition cashflows	5.19	1.04	0.18	-	6.41
- Adjustments to liabilities for incurred claims	9.75	3.55	2.17	-	15.47
- Losses (and reversal of losses) on onerous insurance contracts	10.71	-	-	0.24	10.95
Insurance service result before reinsurance	1.91	13.09	8.15	2.60	25.75
Allocation of reinsurance premiums (net of reinsurance commission)	-	-	-	-	-
- Amounts recoverable from reinsurers for incurred claims	2.66	3.62	0.39	0.02	6.69
- Net income / (expense) from reinsurance contracts held	-	0.05	0.01	1.58	1.64
Insurance service result	2.66	3.57	0.37	1.56	5.04
Interest received	0.75	9.52	7.78	4.16	20.70
Quoted equities - fair value adjustments	0.08	-	0.28	0.15	0.51
Unquoted equities - fair value adjustments	10.78	3.99	4.52	-	10.26
NAV movements in group companies	-	-	-	-	-
Dividend income	0.00	0.55	0.10	-	0.66
Rental income	1.72	-	-	-	1.72
Net foreign exchange income / (expense)	0.19	17.12	0.82	-	16.49
Other Income	3.00	-	-	-	3.00
Total Investment Income	15.79	21.66	4.94	0.15	32.66
Insurance finance income (expenses) for insurance contracts issued	-	-	-	0.15	0.15
Reinsurance finance income (expenses) for reinsurance contracts held	-	-	-	0.03	0.03
Net insurance financial result	-	-	-	0.12	0.12
Net investment result	15.79	21.66	4.94	0.03	32.54
Administrative Expenses(indirectly linked to insurance service provision)	-	-	-	-	-
- Fair value adjustments (negative)	3.24	8.75	0.24	0.17	12.40
- Other Expenses	-	-	-	-	-
- Total for other Expenditure	0.02	-	-	-	0.02
Profit (Loss) before tax	3.27	8.75	0.24	0.17	12.43
Taxation	11.77	22.43	2.59	4.03	40.82
Profit (Loss) after tax	0.00	-	-	-	0.00
Other Comprehensive Income for the year	11.77	22.43	2.59	4.03	40.82
Total Comprehensive Profit/(Loss) Attributable to Shareholders	-	-	-	-	-
	11.77	22.43	2.59	4.03	40.82

APPENDIX A4. STATEMENT OF FINANCIAL POSITION FOR LIFE REASSURERS AS AT 30 SEPTEMBER 2024 - ZWG Million

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Assets					
Non-Current Assets					
Intangible Assets	-	-	-	-	-
Property, Plant and Equipment	0.20	-	0.07	-	0.27
Investment Property	78.64	-	-	-	78.64
Investments: Quoted equities	0.42	4.53	16.88	-	21.83
Unquoted equities	-	8.79	-	-	8.79
Bonds	-	-	0.04	-	0.04
Deferred tax asset	0.01	-	-	-	0.01
Deferred Acquisition Costs Assets (excluding Asset for Insurance Acquisition Cash Flows, but including any DAC previously used to spread acquisition costs)	-	-	-	-	-
Insurance Contract Assets	-	-	-	-	-
Reinsurance Contract Held Assets	4.28	-	-	-	4.28
Other Non-Current Assets	4.26	-	-	-	4.26
Total Non-Current Assets	87.82	13.32	16.99	-	118.12
Current Assets					
Insurance Contract Assets	-	-	2.56	-	2.56
Reinsurance Contract Held Assets	-	-	0.04	1.79	1.83
Money Market Investments	7.46	35.39	7.60	5.01	55.47
Other Short Term Investments	40.27	-	-	-	40.27
Other Receivables	3.10	-	0.39	5.64	9.14
Cash and Bank Balances	6.99	3.44	1.74	-	12.17
Other Current Assets	24.30	-	-	-	24.30
Total Current Assets	82.13	38.84	12.33	12.44	145.73
Total Assets	169.95	52.15	29.32	12.44	263.86

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Liabilities and Equity					
Current Liabilities					
Insurance Contract Liabilities:	-	-	1.86	-	1.86
Best Estimate Liability (BEL)	-	-	1.86	-	1.86
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	-	-	0.42	4.99	5.41
Best Estimate Liability (BEL)	-	-	0.42	4.23	4.65
Risk Adjustment (RA)	-	-	-	0.76	0.76
Contractual Service Margin (CSM)	-	-	-	-	-
Related Party Payables	0.06	5.29	-	6.44	-
Current Provisions	0.36	-	-	-	0.36
Finance Lease Obligations	-	-	-	-	-
Bank Overdrafts	-	-	-	-	-
Payables Arising from Retrocession Arrangements	8.92	-	-	-	8.92
Other Payables	0.08	-	0.04	-	0.12
Total Current Liabilities	9.43	5.29	-	4.12	15.59
Non-current liabilities					
Insurance Contract Liabilities:	-	-	-	-	-
Best Estimate Liability (BEL)	-	-	-	-	-
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Reinsurance Contract Held Liabilities:	32.82	-	-	-	32.82
Best Estimate Liability (BEL)	32.82	-	-	-	32.82
Risk Adjustment (RA)	-	-	-	-	-
Contractual Service Margin (CSM)	-	-	-	-	-
Long Term Loans	-	-	-	-	-
Provision for Investment Contract Liabilities	-	-	-	-	-
Deferred Tax Liability	-	-	-	-	-
Other Liabilities	-	5.99	-	-	5.99
Total Non - Current Liabilities	32.82	5.99	-	-	38.81

	Emeritus Reinsurance	FBC Reinsurance	First Mutual Reinsurance	ZEP Reinsurance	Total
Total Liabilities	42.25	11.27	- 4.12	4.99	54.40
Share Capital and Reserves					
Share Capital	12.14	-	0.00	-	12.14
Share Premium	156.29	-	6.67	-	162.97
Insurance Finance Reserve	-	-	-	-	-
Investment Reserve	-	-	-	-	-
Revaluation Reserve	-	-	-	0.64	0.64
Non-Distributable Reserve	- 222.77	-	-	-	- 222.77
Retained Earnings Prior Years	170.26	18.45	24.20	2.78	215.69
Retained Earnings - Current Period	11.77	22.43	2.59	4.03	40.82
Minority Interest	-	-	-	-	-
Other	-	-	- 0.02	-	- 0.02
Shareholders' Equity	127.69	40.88	33.45	7.44	209.46
Total Equity and Liabilities	169.95	52.15	29.32	12.44	263.86



Life Assurance Sector Report

FOR THE NINE MONTHS ENDED 30 SEPTEMBER 2024

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